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Professor Cole

ECON 404

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Literature Review Assignment

Topic: Do firms reduce capital expenditure and long-run investment when exposed to trade policy uncertainty?

I am interested in exploring CAPEX / investment spending because it relates to both finance and economics. I want to evaluate a couple different things, starting with how the behavior of smaller (market cap) firms differ from large firms when trade policy uncertainty increases, since smaller firms typically have a smaller supply chain and network. Then, evaluating if specific sectors are more prone to TPU (does TPU affect capex more in manufacturing vs software services). I would then conclude with the effects of geography; I presume companies in China are less affected because of their production, but it would be something worth exploring.

Articles

1. [Caldara et al. \(2020\)](#) — The economic effects of trade policy uncertainty
 - a. Published in Journal of Monetary Economics
 - i. **Pre approved**
2. [Handley & Limão \(2015\)](#) — Trade and Investment under Policy Uncertainty: Theory and Firm Evidence
 - a. Published in American Economic Journal: Economic Policy
 - i. **Pre Approved**
3. [Handley & Limão \(2017\)](#) — Policy Uncertainty, Trade, and Welfare: Theory and Evidence for China and the United States
 - a. Published in American Economic Review
 - i. Pre Approved
4. [Pierce & Schott \(2016\)](#) — The Surprisingly Swift Decline of US Manufacturing Employment
 - a. Published in American Economic Review
 - i. **Pre Approved**
5. [Pierce & Schott \(2018\)](#) – Investment responses to trade liberalization: Evidence from U.S. industries and establishments

a. Published in : Journal of International Economics

i. Pre Approved

6. [Gulen & Ion \(2016\)](#) — Review of Financial Studies

a. Not Pre Approved